



“The industry shift towards electrification and intelligent vehicles means higher feature integration, increased product efficiency and reliability”

MADHURISHA VIPPATOORI

VICE PRESIDENT (R&D) & CTO,
SCHAEFFLER INDIA

MOVING UP THE VALUE CHAIN

Kadam says the company's strategy is clear: move up the value chain. Schaeffler India recently restructured its business into four key verticals. The biggest is the powertrain, power transmission and chassis business, followed by the bearings and industrial solutions business, which caters to industrial and partly to auto. E-mobility is an emerging vertical where Kadam sees the most potential for system solutions. The final is vehicle lifetime solutions, or spare parts and after-market care.

“This portfolio balance is precisely what cushions the company during the slowdown in any of the segment,” says Raghunandhan.

The auto industry is undergoing a structural shift globally, transitioning from ICE to electric and

hybrid variants. This means that engine-linked components will have to be redesigned even as new areas like thermal management, battery systems and embedded electronics gain importance. Here, the parent company's tech expertise could give Schaeffler an edge.

Choksey says this can be a significant opportunity for Schaeffler even if it cannibalises some part of the ICE business.

Alongside, Schaeffler has regrouped its portfolio into eight product families. “The connecting thread that runs across all of these is motion. We are developing and designing solutions which contribute to motion,” says Kadam.

In the industrial business, the firm mainly supplies bearings, and there is room to provide solutions like condition monitoring devices that ensure reliability of the equipment, and tools like analytics.

With e-mobility, this transition is already underway. Schaeffler has set up an e-axle production line and provides the entire powertrain for the Tata Harrier. Nuvama's Raghunandhan points to the setting up of this production line and relocation of a clutch line from the UK to Hosur as a structural pivot to a motion technology company.

CHALLENGES

The fragmented nature of policy-making in India does throw some curveballs for the auto industry. For e-mobility, every state has a different policy and different rates of adoption that can make planning investments tricky. “We have products that are technology agnostic. So, we can work on hybrids and EVs, too,” says Kadam. However, ICE is still expected to remain strong in India over the next 15 years.

The e-mobility transition is a double-edged opportunity, says

Raghunandhan. Localisation of high-voltage electronics, magnets and rare-earth-dependent components remains work-in-progress,” he points out. “Further, the Tata e-axle programme is in phase-two localisation, with assembly of imported parts beginning around mid-CY26. Meaningful local value-add will take longer.”

The bigger issue for the industry is rising raw material prices. The war in West Asia has impacted metal prices, as well as LPG availability and cost, both of which are expected to impact profit margins. While the demand environment remains strong, there are murmurs of entry-level auto sales getting impacted. Further, manufacturers continue to struggle with challenges like proliferation of counterfeit spare parts and low-cost imports from China.

FUTURE FOCUS

The shifts in the sector are also translating into a shift in the capabilities for which the company is hiring. While Schaeffler has been upskilling its existing workforce, it is hiring for skills in other emerging areas.

The auto industry could look very different in a few years' time as the share of hybrids and EVs picks up. Besides, there is a strong push towards increasing the adoption of electronics within existing automobiles. Kadam says customers are now talking about a push towards software-defined vehicles, presenting a firm like Schaeffler the possibility of also making the software solution.

Ultimately, the focus on moving up the value chain, combined with closer integration with digital technology and analytics could help ensure that the transition over the next few years gives it long-term competitive advantage. **BT**